

Rob Kickoff:

- Nov ASM — 30% eng, 0% construction. land + downpayment. Still working on land closing due to some wetland permits.
- Team completed 60% detailed design, and landed in the capital range and IRR previously shared.
- Today, want to give a preview of May 11 CPC and get steers as we go through May 20 ASM
- Next Gen's and xDepots work well together to delivery the CVP of extended assortment, at ND&SD speeds, lowering cost to serve

Slide Edit

—80% IP — that has upside as we do hub strategy, let's figure out how to adjust this terminology.

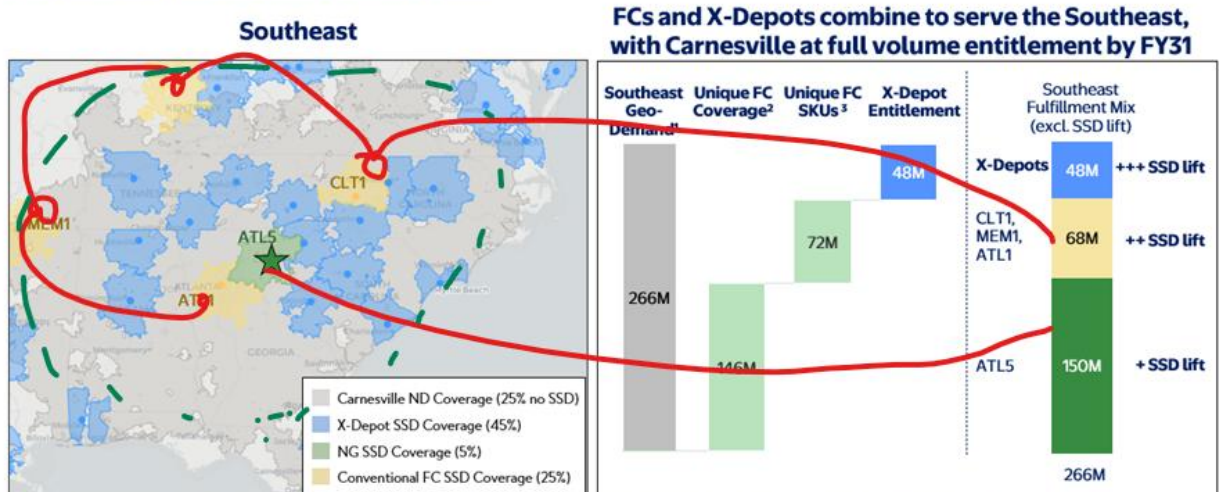
Dave feedback:

1. Intro asset slide: Add a line that shows 30 min ultra fast
2. He has an open question on how many more stores you need — 150 stores, that's not what he asked, he wants a better ground up CVP answer
3. ATL5 is a lot of capital, but he believes we need it
4. Retell the strategic story to show how the next gen fist with all of the other
5. Show DOS, units per sku, AUR —> by 1P, WFS, SAM's

I like it, good changes.

The only point we'll need to explain is the color coding that it doesn't get taken for yellow=yellow and green=green exactly since all 4 FC's will have unique items and cover the full region. The colors really only play to the 2 hour SSD geo's of said FC's.

Southeast region: High Southeast geo-demand enables Carnesville (ATL5) to reach full volume entitlement alongside X-Depots and highly utilized conventional FCs – Incremental SD/SSD lift across all facilities only furthers the volume upside



From: Jack Anderson <Jack.Anderson@walmart.com>
Sent: Sunday, April 26, 2026 10:00 AM
To: Phil Herr <Philip.Herr@walmart.com>; Rob Montgomery <Robert.Montgomery@walmart.com>
Cc: Ellen Sloneker <Ellen.Sloneker@walmart.com>
Subject: RE: CPC Turn-In

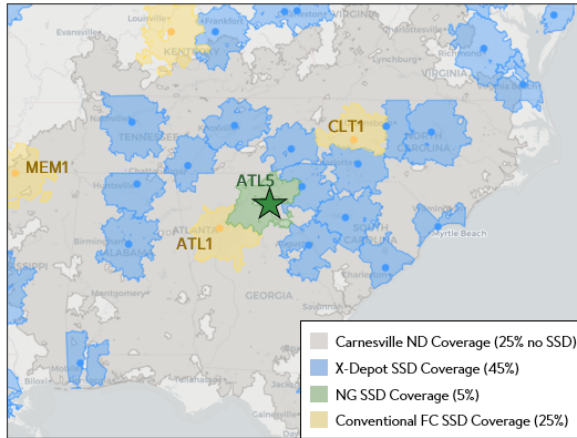
Hi team,

I wanted to share a more positively framed draft of the waterfall slide. Appreciate any thoughts!

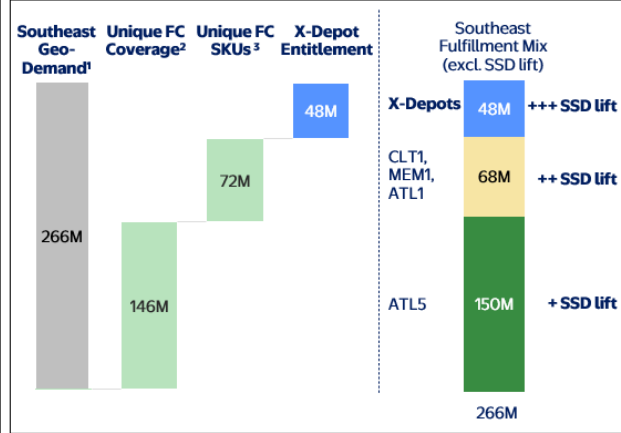
Southeast region: High Southeast geo-demand enables Carnesville (ATL5) to reach full volume entitlement alongside X-Depots and highly utilized conventional FCs – Incremental SD/SSD lift across all facilities only furthers the volume upside



Southeast



FCs and X-Depots combine to serve the Southeast, with Carnesville at full volume entitlement by FY31



- 1) 266M reflects the 12.4% geo-demand share of FY27 LRP for FY31. 29% LRP growth between FY31 and FY32 drives incremental need.
- 2) X-Depots' coverage area services ~45% of ATL5's regional demand → 55% of volume comes from unique FC coverage
- 3) X-Depots carry up to 350K top e-com SKUs = 40% of total volumes → 60% of volume comes from unique FC assortment

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10

From: Jack Anderson

Sent: Friday, April 24, 2026 8:48 PM

To: Phil Herr <Philip.Herr@walmart.com>; Rob Montgomery <Robert.Montgomery@walmart.com>

Cc: Ellen Sloneker <Ellen.Sloneker@walmart.com>

Subject: RE: CPC Turn-In

Hi Phil,

Per our chat, adding Rob in so we can get the dialogue going! Sorry I couldn't be with you all this afternoon.

Greatly appreciate the feedback/thoughts. Below I've responded to each point. I'll follow-up on the couple of specific slide edits with breathing room before turn in. Of course, more than happy to discuss any of these points or anything else, just let me know.

Jack

From: Phil Herr <Philip.Herr@walmart.com>
Sent: Friday, April 24, 2026 5:24 PM
To: Jack Anderson <Jack.Anderson@walmart.com>
Cc: Ellen Sloneker <Ellen.Sloneker@walmart.com>
Subject: CPC Turn-In

Hi Jack,

Let me know when you have a few minutes to chat about the following slide ahead of Turn-In at the end of day on Monday . We had a chance to review it with Rob this afternoon and he had some feedback he wanted to see incorporated. Thanks for the chat, Phil. And for the feedback, Rob.

On the first slide, he wants to go back to the original slide and call out 30 minutes, instead of switching over to the new slide that Leah created. Easy. Consider it done. I do like the new slide we made for the MSM deck also, but agree we should stick with what has been socialized with the 30-minute edit incorporated.

Are these sections of the map 1-hour radius or 2-hour radius'? I am assuming we'll want to be consistent across the ways we reflect coverage between this and the MSM content. Or if we aren't, we'll need to make sure we articulate why in metros like NYC. Two hours for Carnesville – no inconsistency with MSM as it all comes from Greg/Hrishi now. We align with Walden/Edgar. As my team as stepped in to refine the X-depot topology plans, we've honored the two hours in terms of the coverage we are seeking to provide. Our biggest change as been to influence the addition of a couple extra dots in mega metros like New York. The reason is that the original modeling had examples like an X-depot fulfilling from Northern New Jersey to customer out beyond Brooklyn, crossing bridges/paying tolls/competing with Manhattan traffic, etc. We all agreed that is not reasonable as we brought up examples, so we remodeled these few top markets with 1-hour dots that make intuitive sense when mapped and thought through with LMD partners. Transparently, I think we over time will need to look at a few more example markets and really debate in the

context of the LMD framework we are using for ORD1 direct delivery. A world with vans should make most two hours possible and economical. The 95 x-depots referenced in the MSM deck and Carnesville I feel are defensible and aligned now using our model.

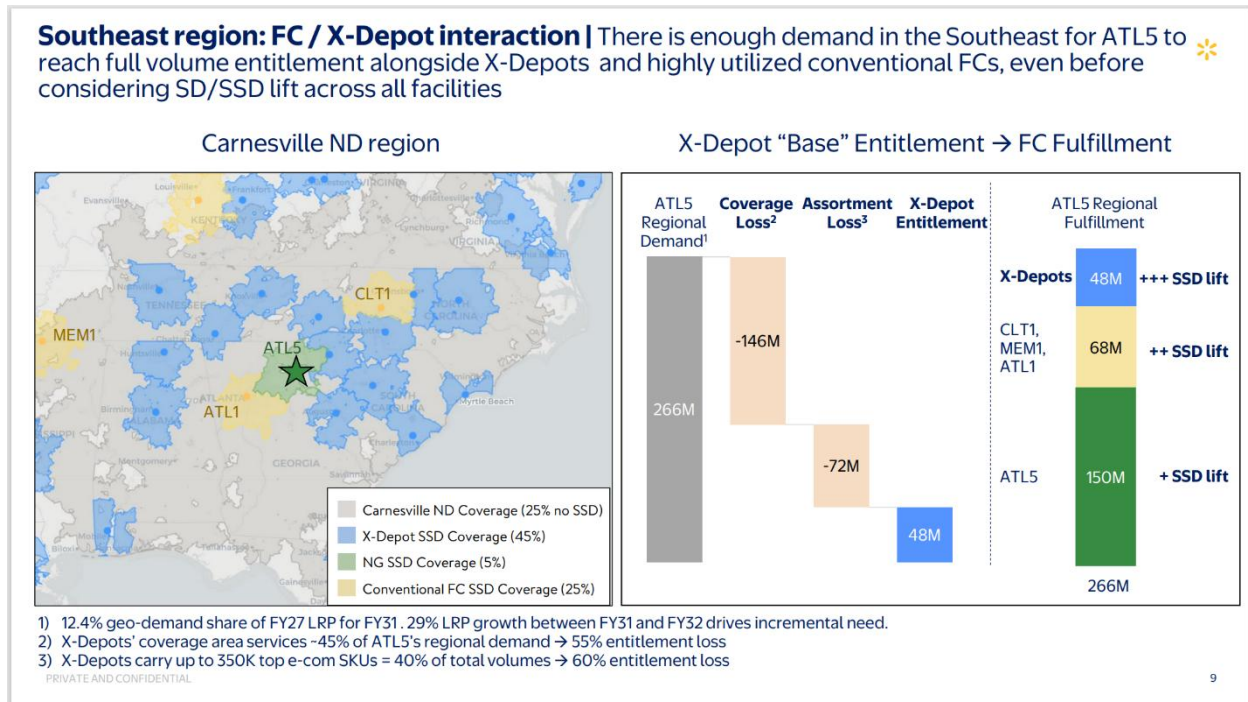
Rob had some feedback on resequencing the waterfall, and telling it as a positive story about the attainment of how the eco-system fits together. He also wanted to change the title above the waterfall. Makes sense and I will re-work it. Will share back for thoughts on the reframe.

He wanted to validate that the X-Depot on this map, match up with the X-Depots on the other map. I can say that 99%+ they are exactly the same. I'll make sure something didn't go haywire, but should be the same map zoomed in.

Other questions from discussions with Rob this afternoon:

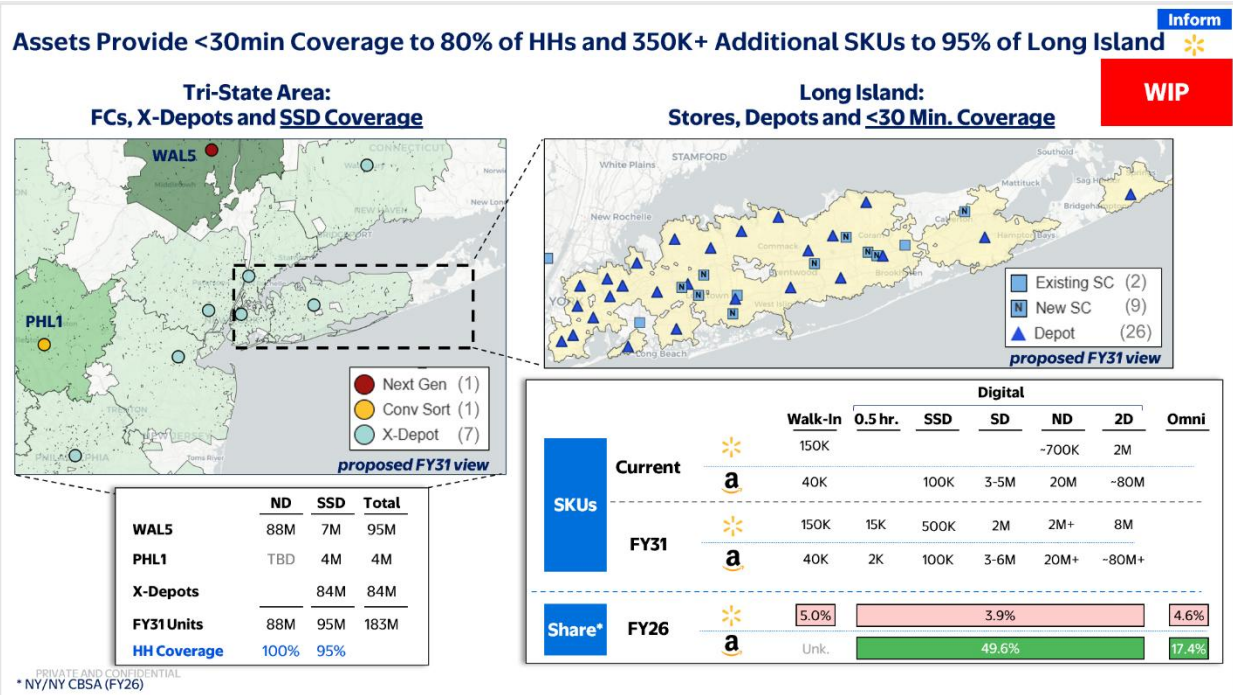
- Have we considered running IP from the X-Depots to Stores on their periphery to deliver last mile. Yes. We'll need to keep crossing the hurdles on convincing how the LMD solutions will require vans and therefore some associate pick. Once you have that, no reason you can't box truck and provide IP coverage where it makes sense (often will I believe). It has been discussed and I think IP will be an inevitable conclusion as we solution unlock the committed coverage.
- Do we have details on the amount of volume and SKU by Depot? Yes. Greg and Lea (our fantastic new hire) have modeled out volume and SKU count for every x-depot. We plan to use this to start pushing details on the launch sequencing (needed for upstream network modeling) and determination of automation vs manual x-depots (which plays back into the capital asks). Punchline is that not many markets can really justify demand for more than 75K SKUs in the LRP horizon and thus would be manual/lower volume. Will become a focus for us after we land the MSM content.
- Do we have a back of the napkin business case of what needs to be true? I have not seen the details, but Walden's team says they have it. I do know they are saying that they are approaching as an ecosystem where they acknowledge that they'll need very good x-depots to basically "pay for" smaller market ones that certainly can't pencil on their own. I expressed some uncertainty about whether that will work well with \$100M investments in an environment where capital is needing to be deployed

thoughtfully, but we'll work it out as we go. I'll to get the business case details Monday and am confident there will not be resistance.



Since there was a connection to MSM, I pulled up the slides you sent him: Will get you a live copy of those slides so you can track the evolution of them as well.

On these slides, Rob asked who provided the details about new Super Centers in Long Island and asked if Hunter's team is involved: Yilei's team modeled depots on the right with new store details as an input. I will ask exactly where that information sourced from. Hunter and team are not actively involved in this workstream, but I believe they probably do provide this input.



He also asked if anyone has been committed to build the Omni model depicted on these slides? The model pertaining to X-Depots and FCs is my team. The one for Depots/Stores/APDs is being done by Yilei's team for MSM, but not sure exactly the commitment that has been made there (APD definitely not included right now). We've agreed that we likely do not need to combine FC and XD topology with this "Ultra Fast" model given the heavily non-overlapping CVP and Assortment (and for practical reasons), but of course we need to keep making sure we're evaluating the best collection of parcel stations in parallel with outputs from that network model. Will keep posted as it becomes clearer how this store/depot/APD part will be built/managed.

How do I decide when I build an Asset to Support Ultra Fast Value Proposition?

